

**CITY OF SANTA CLARITA
AGENDA REPORT**

NEW BUSINESS

City Manager Approval: _____

Item to be presented by: Armine Chaparyan

DATE: January 24, 2012

SUBJECT: A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF SANTA CLARITA, CALIFORNIA, DESIGNATING THE CITY OF SANTA CLARITA AS THE SUCCESSOR HOUSING AGENCY OF THE REDEVELOPMENT AGENCY OF THE CITY OF SANTA CLARITA AND ADOPTION OF AN AMENDED ENFORCEABLE OBLIGATION PAYMENT SCHEDULE

DEPARTMENT: Community Development

RECOMMENDED ACTION

City Council adopt "A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF SANTA CLARITA, CALIFORNIA, DESIGNATING THE CITY OF SANTA CLARITA AS THE SUCCESSOR HOUSING AGENCY OF THE REDEVELOPMENT AGENCY OF THE CITY OF SANTA CLARITA" and direct staff to transmit appropriate notification of this action as required by ABX1 26.

Redevelopment Agency adopt the amended Enforceable Obligation Payment Schedule and direct staff to comply with the reporting and posting requirements of the Enforceable Obligation Payment Schedule statute.

BACKGROUND

On June 29, 2011, as part of adopting the State of California Fiscal Year 2011-12 budget, the Governor signed two trailer bills ABX1 26 (Dissolution Act) and ABX1 27 (Voluntary Alternative Redevelopment Program) into law. The Dissolution Act eliminated Redevelopment Agencies and ordered Successor Agencies to wind down the activities of Redevelopment Agencies. The Voluntary Alternative Redevelopment Program would have provided an opportunity for cities to voluntarily "opt-in" to a new statutory payment scheme that will allow their Redevelopment Agencies to continue to operate and function.

In July 2011, *California Redevelopment Agency v. Matosantos* was filed in the California Supreme Court by the California Redevelopment Association (CRA), the League of California Cities (League), and the cities of San Jose and Union City, challenging the constitutionality of

ABX1 26 and ABX1 27. The CRA/League legal team argued these two budget bills directly violated Proposition 1A, Proposition 22, and Article 16, Section 16 of the California Constitution. Additionally, the CRA/League also argued the two bills were not severable and should be upheld or struck down as a pair.

In December 2011, the Supreme Court rendered a decision that was the worst case scenario for local governments throughout the state. The court upheld ABX1 26 but struck down ABX1 27. More specifically, the court's decision states the State Legislature had the constitutional power to dissolve Redevelopment Agencies; however, the option of "voluntarily" remitting payment to maintain active as a Redevelopment Agency violates Proposition 22. Additionally, the Supreme Court found the two bills were severable and the provisions of ABX1 26 would survive even as ABX1 27 was struck down.

As a result of the Supreme Court's decision, it becomes necessary for the City of Santa Clarita (City) to undertake the following actions to implement ABX1 26 and wind down the activities of the Redevelopment Agency:

- Determine the Successor Agency of the Redevelopment Agency;
- Determine if the City of Santa Clarita should be the Successor Housing Agency of the Redevelopment Agency;
- Adopt an amended Enforceable Obligation Payment Schedule; and
- Create the Redevelopment Obligation Retirement Fund.

REDEVELOPMENT SUCCESSOR AGENCY

Under ABX1 26, Redevelopment Agencies are dissolved as of February 1, 2012, and replaced with Successor Agencies responsible for winding down the affairs of the Redevelopment Agency. This includes:

- Making payments for enforceable obligations and perform obligations pursuant to any enforceable obligation;
- Enforcing all former Redevelopment Agency rights including continuing to collect loans, rents, and other revenues due to the Redevelopment Agency;
- Maintaining reserves in the amount required by indentures, trust indentures, or similar documents governing the issuance of outstanding redevelopment bonds;
- Disposing of the assets and properties of the former Redevelopment Agency;
- Preparing a proposed administrative budget; and
- Preparing a Recognized Obligation Payment Schedule before each six month period.

The City automatically becomes the Successor Agency, unless otherwise determined by the City Council, and is operative on February 1, 2012. At that time, all assets and funds previously held by the Redevelopment Agency will be transferred to the Successor Agency. The Redevelopment Agency currently has no real property assets. The current gross balance of the Redevelopment non-housing fund is \$381,347 (entirely tax increment funds).

The Successor Agency is allowed an administrative allowance. This allowance is up to five percent of the property tax within the Newhall Redevelopment project area for 2011-12 and three percent each year thereafter. This amount shall not be less than \$250,000 for any fiscal year unless agreed to by the Successor Agency. The City acting as the role of the Successor Agency will be allocated \$250,000 for its administrative budget.

ABX1 26 requires that any action the Successor Agency takes to be approved by an Oversight Board. The Oversight Board is a seven member panel consisting of the following members:

- One member appointed by the Mayor;
- One member representing the employees of the former Redevelopment Agency appointed by the Mayor;
- One member appointed by the Los Angeles County Board of Supervisors;
- One member of the public appointed by the Los Angeles County Board of Supervisors;
- One member appointed by the largest special district, which is Castaic Lake Water Agency;
- One member appointed by the Los Angeles County Office Board of Education; and
- One member appointed by the Chancellor of the California Community Colleges.

An item to appoint the City representatives on the Oversight Board will be before the City Council at a later date.

HOUSING SUCCESSOR AGENCY

ABX1 26 also contains a separate provision that allows the City to become the Successor Agency for affordable housing functions (Housing Successor Agency). The Housing Successor Agency assumes the Redevelopment Agency's housing functions and takes over the real assets acquired using Redevelopment Agency low/mod housing funds (Housing Fund). In order for the City to become the Housing Successor Agency, the City Council must act affirmatively by adopting the attached Resolution. If the City does not pass a resolution to become the Housing Successor Agency by February 1, 2012, the Housing Authority of the County of Los Angeles (County) will become the Housing Successor Agency by default, and all housing functions and real housing assets of the Redevelopment Agency will be transferred to County.

The Redevelopment Agency currently has no housing assets. The current gross balance in the Housing Fund is \$8,986,406 (\$3,822,466 in tax increment funds and \$5,073,940 in bond proceeds). The majority of these funds were previously set aside to assist the development of affordable housing through the Newhall Avenue Development.

As it is currently written, ABX1 26 does not allow the funds in the Housing Fund accounts (tax increment or bond proceeds) to be transferred to the Housing Successor Agency, but instead requires that those funds be deposited into a Redevelopment Obligation Retirement Fund to pay back the related bond debt and other Redevelopment Agency obligations. State Legislation has been introduced to allow the funds in the Housing Fund to be transferred to the Housing Successor Agency to continue affordable housing projects and programs, but the result of that proposed legislation is unknown at this time.

ENFORCEABLE OBLIGATION PAYMENT SCHEDULE

Under ABX1 26, Redevelopment Agencies were required to adopt an Enforceable Obligation Payment Schedule (Payment Schedule). The Payment Schedule was adopted on August 23, 2011. The purpose of the Payment Schedule is to list all obligations deemed enforceable by ABX1 26 that would need to be paid for the months of September, October, November, and December of 2011. Only costs that are outlined on the Payment Schedule may be paid by the Redevelopment Agency and the Successor Agency.

New deadlines imposed by the Supreme Court's decision have created a void in the original schedule and no formal payment schedule covers the period of January 1, 2012 through June 30, 2012. The City Attorney's Office recommends the Agency Board amend the previously adopted Payment Schedule to include this time period so that the Redevelopment Agency and Successor Agency can continue to make payments as needed.

The attached Payment Schedule has been updated to include actual dollars spent between August and December 2011 and updated projections for the remainder of the term covered. No additional items have been added to the Payment Schedule and no items have been removed.

Moving forward, the Successor Agency will be required to prepare a Recognized Obligation Payment Schedule (ROPS) that will set forth the minimum payment amounts and due dates for payments for each six-month fiscal period. The first ROPS is to be prepared by the Successor Agency by March 1, 2012.

REDEVELOPMENT OBLIGATION RETIREMENT FUND

The Successor Agency is required to create a Redevelopment Obligation Retirement Fund. The purpose of this fund is to pay the costs identified in the ROPS. Each January 16th and June 1st, the Los Angeles County Auditor-Controller will allocate revenue to pay off the debts outlined on the ROPS. In preparation for the dissolution of the Redevelopment Agency, staff has created the Redevelopment Obligation Retirement Fund (Fund 392).

ALTERNATIVE ACTIONS

Other actions as determined by City Council.

FISCAL IMPACT

Upon the effective date of the Successor Agency, all assets, properties, and contracts of the former Redevelopment Agency will be transferred to the Successor Agency. Funds required to fulfill enforceable obligations will be transferred into the Redevelopment Obligation Retirement Fund.

ATTACHMENTS

Resolution
Enforceable Obligation Payment Schedule